

Consolidated Financial Statements

Consolidated Statement of Profit or Loss and Other Comprehensive Income

in thousands of euros	Note	2025	2024
Interest income calculated using the effective interest method		115,341	125,338
Other income similar to interest		11,003	13,357
Interest and similar expense		-53,075	-61,125
Net interest and similar income	5	73,269	77,570
Fee and commission income		8,358	7,899
Fee and commission expense		-3,813	-3,541
Net fee and commission income	6	4,545	4,358
Change in fair value of investment properties		0	-750
Net gains from non-financial asset realisation		0	53
Net gains from financial assets measured at fair value through other comprehensive income		251	33
Handling of overdue receivables		637	534
Other income		654	85
Net other income		1,542	-45
Payroll expenses	7	-24,406	-23,411
Operating expenses	8	-10,830	-11,713
Depreciation	13	-6,255	-5,452
Total operating expenses		-41,491	-40,576
Profit before loss allowances and tax		37,865	41,307
Credit loss allowance	11	-3,299	-4,643
Profit before tax		34,566	36,664
Income tax expense	25	-5,842	-4,486
Net profit for the financial year	4	28,724	32,178
Other comprehensive income / loss (-)			
Items that may be reclassified subsequently to profit or loss:			
Financial assets at fair value through other comprehensive income		-402	757
Other comprehensive income/ loss (-)		-402	757
Total comprehensive income for the financial year		28,322	32,935
Basic earnings per share (in euros)	24	0.28	0.31
Diluted earnings per share (in euros)	24	0.27	0.31

Notes to the financial statements on pages 49 to 124 are an integral part of the consolidated financial statements.

Consolidated Statement of Financial Position

in thousands of euros	Note	31.12.2025	31.12.2024 (Restated)
Assets			
Cash and cash equivalents	9	469,732	325,362
Mandatory reserve kept in the Central Bank	9	18,985	18,316
Debt securities at fair value through other comprehensive income	10	58,035	37,751
Debt securities at amortized cost	10	4,988	0
Equity instruments at fair value through other comprehensive income	10	13	13
Loans and advances to customers	11	2,114,091	1,774,118
Derivatives	2	3,681	0
Other financial assets	12	741	1,610
Other assets	12	1,718	2,035
Assets held for sale	12	1,256	1,140
Right-of-use assets	13	4,736	5,107
Tangible assets	13	3,539	3,451
Intangible assets	13	14,722	12,954
Goodwill	3	6,757	6,757
Total assets		2,702,994	2,188,614
Liabilities			
Customer deposits*	15	2,047,459	1,877,865
Loans received*	16	77,061	8,280
Debt securities	17	255,203	0
Lease liabilities	14	4,766	5,153
Other financial liabilities	18	13,230	15,443
Other liabilities	18	7,584	7,088
Subordinated debt	19	63,148	63,148
Total liabilities		2,468,451	1,976,977
Shareholders' equity	20		
Share capital		70,638	70,181
Share premium		28,133	26,711
Statutory reserve capital		8,424	6,815
Retained earnings		125,713	105,807
Other reserves and assets revaluations		1,635	2,123
Total shareholder's equity		234,543	211,637
Total liabilities and shareholders' equity		2,702,994	2,188,614

* In 2025, the Group decided to separately present Loans received, which were previously aggregated within Customer deposits and loans received, due to their increased balance. As of 1 January 2024, Loans received would have been 9,682 thousand euros out of the previously presented Customer deposits and loans received of 1,721,765 thousand euros.

Notes to the financial statements on pages 49 to 124 are an integral part of the consolidated financial statements.

Consolidated Statement of Cash Flows

in thousands of euros	Note	2025	2024 (Restated)
Cash flows from operating activities			
Interest and other similar income received		122,703	138,367
Interest paid		-50,245	-64,341
Fees and commissions received		8,358	7,899
Fees and commissions paid		-3,813	-3,541
Other received income		1,293	706
Salaries paid		-24,829	-22,555
Other operating expenses paid		-10,830	-11,576
Advance Income Tax paid	25	-5,494	-5,809
Total cash flows from operating activities before changes in operating assets and liabilities		37,143	39,150
Change in operating assets:			
Loans and advances to customers		-343,217	-287,578
Change of base level of the reserve kept in the Central Bank	9	-669	-1,218
Other assets		1,071	-1,852
Change in operating liabilities:			
Change in customer deposits*		172,885	169,205
Change in loans received*		68,781	-1,402
Other liabilities		-1,727	929
Net cash flows from operating activities		-65,733	-82,766
Cash flows from investing activities			
Acquisition of tangible and intangible assets	13	-7,359	-6,636
Sale of tangible and intangible asset and assets held for sale		2	634
Acquisition of debt securities	10	-40,010	-2,342
Sale and redemption of debt securities	10	15,210	1,253
Total cash flows used in investing activities		-32,157	-7,091
Cash flows from financing activities			
Paid in share capital	20	842	820
Issue of subordinated debt	19	0	15,000
Redemption of subordinated bonds	19	0	-2,000
Dividends paid	20	-7,209	-8,895
Debt securities	17	249,235	0
Repayment of lease liabilities	14	-606	-961
Total cash flows from financing activities		242,262	3,964
Effect on exchange rate changes on cash and cash equivalents		-2	-1
Change in cash and cash equivalents		144,370	-85,894
Cash and cash equivalents at beginning of the period		325,362	411,256
Cash and cash equivalents at the end of the period		469,732	325,362
Cash and cash equivalents balance is comprised of:			
Cash on hand		4,288	1,766
Demand deposits at the Central Bank	9	443,316	299,380
Demand and short-term deposits in credit institutions and other financial institutions		22,128	24,216

* Change in loans received and Change in customer deposits were presented together in the consolidated statements of cash flows for 2024 in the amount of 167,803 thousand euros.

Notes to the financial statements on pages 49 to 124 are an integral part of the consolidated financial statements.

Consolidated Statement of Changes in Equity

in thousands of euros	Share capital	Share premium	Statutory reserve capital	Other reserves	Revaluation reserve	Retained earnings	Total shareholder's equity
Equity as at 31.12.2023	69,673	25,779	4,855	1,493	-459	84,484	185,825
Paid in share capital	508	932	0	-620	0	0	820
Dividends paid	0	0	0	0	0	-8,895	-8,895
Changes in statutory reserve capital	0	0	1,960	0	0	-1,960	0
Share options *	0	0	0	952	0	0	952
Net profit	0	0	0	0	0	32,178	32,178
Other comprehensive income	0	0	0	0	757	0	757
Total comprehensive income	0	0	0	0	757	32,178	32,935
Equity as at 31.12.2024	70,181	26,711	6,815	1,825	298	105,807	211,637
Paid in share capital	457	1,422	0	-1,037	0	0	842
Dividends paid	0	0	0	0	0	-7,209	-7,209
Changes in statutory reserve capital	0	0	1,609	0	0	-1,609	0
Share options *	0	0	0	951	0	0	951
Net profit	0	0	0	0	0	28,724	28,724
Other comprehensive income	0	0	0	0	-402	0	-402
Total comprehensive income	0	0	0	0	-402	28,724	28,322
Equity as at 31.12.2025	70,638	28,133	8,424	1,739	-104	125,713	234,543

*See Note 20

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Notes to Consolidated Financial Statements

Note 1 Material accounting policy information

Coop Pank AS (Reg. No. 10237832) is a credit institution registered in Tallinn (Estonia) Maakri street 30. The consolidated annual report (incl. consolidated financial statements) of Coop Pank group for the year 2025, which have been prepared on a going concern basis, was confirmed by the Management Board of Coop Pank on 10 March 2026 and approved by the Supervisory Board on 11 March 2026. The authorised for issue consolidated annual report is subject to approval by the shareholders on 08 April 2026.

Functional and presentation currency

The functional currency of the Coop Pank group companies is euro. 2025 consolidated financial statements have been presented in thousands of euros, unless stated otherwise.

1.1 Basis of preparation

These consolidated financial statements of Coop Pank group are prepared in accordance with International Financial Reporting Standards (IFRS Accounting Standards) as adopted by the European Union. The material accounting policy information and significant accounting estimates and judgements applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated. These financial statements have been prepared under the historical cost convention, except as disclosed in some of the accounting policies below (i.e. Debt securities and equity instruments at fair value through other comprehensive income and derivatives at fair value hedge). Financial statements have been prepared according to the accrual principle of accounting. The Group classifies its expenses by nature of the expense method. When the presentation or classification of items in the consolidated financial statements is amended, comparative information for the previous period is also reclassified, if not referred differently in the specific accounting principle.

1.2 Critical accounting estimates and judgements

The preparation of the consolidated financial statements in accordance with the International Financial Reporting Standards as adopted by the EU requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses for the reporting period. Although these estimates are based on the best knowledge and judgement of current events and actions, the actual outcome and the results ultimately may significantly differ from those estimates. A more detailed overview of the estimates made is provided under the accounting principles or disclosures set out below.

Critical estimates are primarily used in the following areas:

- expected credit loss, incl. fair value assessments of collateral (Note 2; Note 11, 12);
- fair value of financial assets and liabilities (Note 2);
- goodwill impairment (Note 3).

The most significant management judgements are related to the application of the IFRS 9 standard. Management has assessed the business model for classifying different financial assets. The commercial purpose of loans to customers as well as debt securities at amortized cost is the collection of contractual cash

flows, while loans and debt securities under this model may also be sold for credit risk mitigation purposes. Financial investments in debt instruments are made for the purpose of investing liquid assets, which is why the commercial purpose of investing in debt instruments is to collect and sell contractual cash flows as needed. In addition, it has been assessed whether the contractual cash flows only include the principal and interest payments, including interest cash flows for the time value of money, credit risk, liquidity risk and, inter alia, cover administrative costs and profit margin. All recognised financial assets meet these criteria.

Management also estimates the expected inputs of the expected credit loss model for financial assets. Models, estimates, and inputs are reviewed regularly by the Group Risk Management function.

Estimates and judgments of the management are continually evaluated based on historical experience and other factors, including expectations of future events that are believed to be reasonable under these circumstances. Changes in assumptions may have a significant impact on the financial statements in the period assumptions are changed. Management believes that the underlying assumptions are appropriate, and the Group's financial statements therefore present the financial position and results fairly.

1.3 Consolidation

These consolidated financial statements of the Coop Pank group are comprised as at 31.12.2025. The group's entities use uniform accounting policies. The definition of group according to the Regulation (EU) No 575/2013 of the European Parliament and of the Council matches that under IFRS Accounting Standards. The statements of financial position and statement of profit or loss and other comprehensive income of the bank and its subsidiaries are consolidated on a line-by-line basis, eliminating the intercompany balances, revenues, income, expenses and unrealised gains/losses on transactions between group companies.

Structure of the Group	Country	Activity	Holding
Coop Pank AS	Estonia	banking	parent company
Coop Liising AS	Estonia	leasing	100%
Coop Kindlustusmaakler AS	Estonia	insurance brokerage	100%
SIA Prana Property	Latvia	real estate management	100%

Subsidiaries

Subsidiaries are consolidated in the financial statements from the time control arises until it ceases.

In the parent company's separate financial statements investments in subsidiaries are accounted for at cost less any impairment recognised.

1.4. Foreign currency transactions and assets and liabilities denominated in a foreign currency

All other currencies except for the functional currency, the euro, constitute foreign currencies. Foreign currency transactions have been translated to functional currencies based on the foreign currency exchange official rates of the European Central Bank prevailing on the transaction date. Monetary assets and liabilities denominated in a foreign currency have been translated into the functional currency based on the foreign currency exchange rates of the European Central Bank prevailing on the balance sheet date. Foreign exchange gains and losses are recognised in the statement of profit or loss as income or expense of that period. Non-monetary financial assets and liabilities denominated in a foreign currency measured at fair value have been translated into the functional currency based on the foreign currency exchange rates of the European Central Bank prevailing on the fair value measurement date. Non-monetary assets and liabilities that are not measured at fair value (e.g. prepayments, inventories accounted for using the cost method, tangible assets as well as intangible assets) in

a foreign currency are not translated at the balance sheet date but they continue to be reported using the official exchange rate of the European Central Bank prevailing at the date of the transaction.

1.5. Financial assets

Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through OCI or through profit or loss) and
- those to be measured at amortised cost.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

The classification made can be seen in the table below:

Measurement category as defined by IFRS9	Financial assets category as defined by the Group	
Financial assets measured at amortised cost (AC)	Balances with central banks	
	Demand and term deposits at credit institutions and other financial institutions	
	Loans and advances to customers	Receivables from private individuals incl. consumers loans incl. lease financing incl. mortgage loans and other loans
		Receivables from legal entities incl. lease financing incl. other loans
	Debt securities at amortised cost	
	Other financial assets	
Financial assets at fair value through profit or loss (FV)	Derivatives	
	Investments in equity instruments	
Financial assets measured at fair value through other comprehensive income (FVOCI)	Investments in debt securities	
	Investments in equity instruments	

Recognition and derecognition

Regular way purchases and sales of financial assets are recognised on trade-date, the date on which the Group commits to purchase or sell the asset.

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset (i.e. whether the Group's objective is solely to collect the contractual cash flows from the assets, or to collect both the contractual cash flows and also the cash flows from the sale of assets; or is none of the above described two models) and the cash flow characteristics of the asset (i.e. whether the cash flows represent solely payments of principal and interest ("SPPI"), interest including only consideration for credit risk, time value of money, other basic lending risks and profit margin). Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are SPPI.

The Group's debt instruments have been classified into the following measurement categories:

- Amortised cost (AC): Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interests are measured at amortised cost. Interest income from these financial assets is included in interest income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other income/(expenses). Impairment losses are presented as separate line items in the statement of profit or loss.

The following financial assets of the Group are classified in this category:

- Cash;
 - Balances with central banks;
 - Demand deposits at credit institutions and other financial institutions;
 - Loans and advances to customers;
 - Investments in debt securities;
 - Other financial assets.
- FVOCI: Assets that are held for collection of contractual cash flows and for selling financial assets where the assets' cash flows represent solely payments of principal and interest are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised under "net gains from financial assets measured at fair value through other comprehensive income". Interest income from these financial assets is included in interest income using the effective interest rate method. Impairment losses are presented as separate line items in the statement of profit or loss.

The following financial assets of the Group are measured FVOCI:

- Investments in debt securities.

Equity instruments

The Group subsequently measures equity investments that are listed at FVPL and equity investments that are not listed at FVOCI.

Derivatives and hedge accounting

The Group applies hedge accounting according to IFRS 9 Financial instruments to fair value hedges of covered bond presented as Issued debt securities. Coop Pank enters into interest rate swaps to hedge interest risk at Debt securities issued.

A hedging relationship qualifies for hedge accounting if it meets all of the following effectiveness requirements according to IFRS 9 p. 6.4.1:

- Economic relationship: There is an expectation that the values of the hedged item and hedging instrument will move in opposite directions in response to the same risk.
- Credit risk impact: The change in value of the hedging relationship is not dominated by the effect of credit risk.
- Hedge ratio: The designated ratio of the hedging relationship is the same as that used for actual risk management purposes.

For the fair value hedge relationship that continues to meet the hedge effectiveness requirements, the following accounting rules are applied:

- The gain or loss from changes in fair value of the hedging instrument is recognized in profit or loss.
- The gain or loss on the on the hedged item attributable to the hedged risk (FVH 'basis adjustment') is recognized in profit or loss and in the Statement of Financial Position as a corresponding adjustment to the carrying amount of the hedged item, within Issued debt securities.
- The net interest accruals on the hedging instrument are recognized in profit or loss, within Interest and similar expense.
- The carrying amount of the hedging instrument is recognized in balance sheet, within Derivative financial assets with a positive fair value (above zero) or within Derivative financial liabilities with a negative fair value (below zero).

Impairment of financial assets

The Group assesses on a forward-looking basis the expected credit losses (ECL) associated with its debt instruments carried at amortised cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

The measurement of ECL reflects: (i) an unbiased and probability weighted amount that is determined by evaluating a range of possible outcomes, (ii) time value of money and (iii) all reasonable and supportable information that is available without undue cost and effort at the end of each reporting period about past events, current conditions and forecasts of future conditions.

For trade receivables and contract assets without a significant financing component the Group applies a simplified approach permitted by IFRS 9 and measures the allowance for impairment losses at expected lifetime credit losses from initial recognition of the receivables. The Group uses a provision matrix in which allowance for impairment losses is calculated for trade receivables falling into different ageing or overdue periods.

For all other debt instruments, including finance lease receivables, at amortised cost or FVOCI, the Group follows a three- stage model based on changes in credit quality since initial recognition. A more detailed overview of the three-stage model principles is given in Note 2 "Risk management" in part "Measurement of expected credit loss (ECL) ".

Debt instruments measured at AC are presented in the consolidated statement of financial position net of the allowance for ECL. For loan commitments and financial guarantees, a separate provision for ECL is recognised as a liability in the consolidated statement of financial position. For debt instruments at FVOCI, changes in amortised cost, net of allowance for ECL, are recognised in profit or loss and other changes in carrying value are recognised in OCI as gains less losses on debt instruments at FVOCI.

For contracts that include both a loan and an undrawn commitment and where the Group cannot separately distinguish the ECL on the undrawn loan component from the loan component, the ECL on the undrawn

commitment is recognised together with the loss allowance for the loan. To the extent that the combined ECLs exceed the gross carrying amount of the loan, they are recognised as a liability.

In a subsequent period, if the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating), the previously recognised impairment loss is reversed by adjusting the allowance account. The amount of the reversal is recognised in the statement of profit or loss under "credit loss allowance".

A more detailed overview of the credit risk management principles is given in Note 2 "Risk management". Interest income is recognised in the statement of profit or loss "Interest income calculated using effective interest rate method".

Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash on hand, demand deposits due from central banks and other credit institutions and term deposits with original maturities of three months or less that are available for use without any significant restrictions and which are subject to an insignificant risk of changes in value. The cash flow statement is presented using the direct method.

Lease receivables

Finance lease transactions are lease transactions under which all significant risks and rights from using the assets are transferred from the Group to the lessee. Legal ownership of assets is transferred to the customer at the end of the lease term. The receivables from the finance lease agreements are recognised at net present value of the minimum lease payments, from which the payments of principal received have been deducted, plus unguaranteed residual value at the end of contract. Lease payments collected are allocated between repayment of principal and finance income. Finance income is recognised over the rental period based on the pattern reflecting a constant periodic rate of return on the lessor's net investment in the finance lease. The lessor's direct expenses related to the contract are part of effective interest rate and are booked as decrease of income from lease over the period of lease contract. Lease receivables are presented in the statement of financial position net of the loss allowance. A lease receivable from a client is recognised in the statement of financial position as of the moment of delivering the assets that are the subject of the agreement to the client. In case of transactions in which the assets that are the object of the agreement have a long delivery term have not yet been delivered to the client, the payments received from the lessees under these agreements are recognised in the statement of financial position as prepayments of buyers in line "Other financial liabilities".

Factoring and warehouse financing receivables

Factoring transactions are considered to be financing transactions where the Group provides the financial resources to its selling partners through transfer of the rights to the receivables from these sales transactions. The Group acquires the right for the receivables payable by the buyer subject to the sales contract. Factoring is the transfer of receivables. The transaction is booked as financing (i.e. loan secured by a claim), when the Group does not own all the rights related to the receivable (recourse factoring). The receivable is included in the statement of financial position until payment is received or recourse is expired.

Warehouse receipt financing transactions are financing transactions where the lease firm finances its partners by granting them a loan against pledged stock reserves.

Interest income is recognised in the statement of profit or loss using the effective interest rate method, in line with IFRS.

1.6 Tangible and intangible assets

Land, buildings, IT equipment, office equipment and other assets of long-term use are recognised in the statement of financial position as tangible assets. Intangible assets are identifiable, non-monetary assets without physical substance and as at balance sheet date comprise acquired or internally developed software and licences (Note 13).

Tangible and intangible assets are initially recognised at acquisition cost, consisting of the purchase price, non-refundable taxes and other direct costs related to taking the asset into use. Subsequent expenditures related to an item of tangible assets are recognised as an asset if these are in accordance with the definition of tangible assets and meet the criteria for recognition in the statement of financial position (including if it is probable that future economic benefits associated with the item will flow to the entity). Ongoing repairs and maintenance expenditures are expensed during the reporting period in which they are incurred.

Tangible and intangible assets with finite useful lives are subsequently stated at historical cost less depreciation/amortisation and any impairment losses. Depreciation/amortisation is calculated starting from the date the asset is available to use until the asset is fully depreciated. Assets are depreciated/amortised on a straight-line basis. Depreciation/amortisation calculation is based on the useful life of the assets groups, which serves as the basis for forming the depreciation/amortisation rates.

In the case of tangible assets, the annual depreciation rate for buildings is up to 5%, the depreciation rate for vehicles is up to 15% p.a., for improvements of rental space is up to 20% p.a. or until the end of the lease term, whichever is shorter. The annual depreciation rate for computers, office equipment and furniture are up to 25% p.a.

For intangible assets, the annual depreciation rate for the group's core systems is 15% p.a., for user environments is 20% p.a. and for purchased licenses is up to 33% p.a.

Non-current assets with an unlimited useful life (land) are not depreciated. Depreciation of non-current assets is presented in the statement of profit or loss line item "Depreciation".

Gains or losses from sale of non-current assets is determined by comparison of the sales price with the carrying amount. Gain or loss on sale is recognised in the statement of profit or loss in the line items "Net gains from non-financial assets realisation".

Capitalisation of expenses

Leasehold improvements related to the leased space used by the Group are capitalised as tangible assets and expensed on a straight-line basis in accordance with the duration of the lease agreement.

Development costs

If software development expenses result in additional functionality and if they meet the definition of intangible assets and criteria for inclusion in the statement of financial position (incl. expected participation in the generation of future economic benefits), such expenses are recognised as intangible assets. Expenses related to the use of software are expensed as incurred.

Expenditures incurred on advertising and the launch of new products, services and processes are expensed as incurred. Expenditures associated with internally developed trademarks and other such items are expensed as incurred.

Goodwill

Goodwill is recognised in acquisition value, less accumulated impairment losses. The Group tests the value of goodwill at least once a year or immediately if there is any indication that it might be impaired. Goodwill is distributed among cash-generating units or groups of cash-generating units that benefit from the synergy of the business combination. Profit or loss from the termination or sale of cash-generating units where goodwill is allocated consists of the carrying amount of the goodwill allocated to the unit.

1.7 Assets held for sale

Assets held for sale are measured at the balance sheet date and are carried in the balance sheet at the lower of its carrying amount and fair value less costs to sell.

1.8 Leases – the Group as the lessee

The Group leases office premises. At the inception of a contract, the Group assesses whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The Group determines the lease term as the non-cancellable period of a lease, together with both periods covered by an option to extend the lease if the lessee is reasonably certain to exercise that option, and periods covered by an option to terminate the lease if the lessee is reasonably certain not to exercise that option. The Group revises the lease term if there is a change in the non-cancellable period of a lease.

Initial measurement

Right-of-use asset are recorded on a separate line in the statement of financial position.

At the commencement date, the Group measures the lease liability at the present value of the lease payments that are not paid at that date. The lease payments shall be discounted using the lessee's incremental borrowing rate. To determine the incremental borrowing rate, the Group uses recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in financing conditions since third party financing was received.

For a contract that contains a lease component and one or more additional non-lease components, as a practical expedient, the Group has elected not to separate non-lease components from lease components, and instead account for each lease component and any associated non-lease components as a single lease component.

Subsequent measurement

After the commencement date, the Group measures the right-of-use asset applying a cost model.

After the commencement date, a lessee shall measure the lease liability by:

- a) increasing the carrying amount to reflect interest on the lease liability;
- b) reducing the carrying amount to reflect the lease payments made; and
- c) remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments.

If there are changes in lease payments, there may be a need to remeasure the lease liability. The Group shall recognise the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset.

However, if the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, a lessee shall recognise any remaining amount of the remeasurement in profit or loss on the line "Depreciation".

The Group has elected not to apply the requirements of IFRS 16 to short-term leases and leases for which the underlying asset is of low value. Payments associated with short-term leases and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise of IT equipment and leases, whose market value does not exceed the amount of 5,000 euros.

1.9 Received financial guarantee and credit protection (Synthetic Securitisation)

The Group enters into synthetic securitisation transaction to transfer the credit risk of a specific loan and lease portfolio to the European Investment Fund (EIF). The Group's management has assessed that the primary objective of the transaction is the optimisation of regulatory capital.

As at 31.12.2025, the transaction had not yet become effective and had no impact on the financial results during the reporting period, but the transaction is expected to become effective in 2026, at which point the Bank will begin amortising the associated guarantee fees. In accordance with the terms of the transaction the guaranteed loan portfolio amounts to EUR 200 million. Of this amount, the Bank retains junior tranche of credit risk of approximately EUR 3 million, while credit risk of approximately EUR 197 million is transferred to the EIF Group. Upon the transaction becoming effective, the Bank's risk weighted assets are expected to decrease by approximately EUR 147 million, as the risk weight applicable to the guaranteed exposures will be 0%. The quantitative impacts disclosed above are based on information available at the reporting date and may change upon finalisation of the transaction.

Guarantee fees paid for credit protection are not a part of the effective interest rate (EIR) of the underlying loans, as the transaction is entered into for capital management purposes only. Prepaid guarantee fees will be recognised under "Other Assets" as prepayments. The prepaid asset will be amortised on a straight-line basis to the profit or loss over the shorter of the protection period or the expected life of the protected portfolio. This expense will be recognised in the Statement of Profit or Loss and Other Comprehensive Income under "Net fee and commission income".

The asset will be tested for impairment in accordance with IAS 36 "Impairment of Assets" to ensure that the economic benefits still justify its carrying amount.

Reimbursements from the EIF for realised credit losses will be recognised only when it is virtually certain that the compensation will be received. These reimbursements will be presented in the Statement of Profit or Loss and Other Comprehensive Income as a reduction of the "Credit loss allowance".

1.10 Financial liabilities

The classification made can be seen in the table below:

Category by IFRS9		Category as determined by the Group	
Financial liabilities	Financial liabilities measured at amortised cost	Client deposits and loans received	Private individuals
			Legal entities
			Credit institutions and central banks
		Debt securities	
		Subordinated debt	
		Other financial liabilities	
Contingent liabilities	Loan commitments		
	Financial guarantees		

Deposits from customers

Deposits are recognised in the statement of financial position on their settlement date at fair value net of transaction costs and subsequently measured at amortised cost using the effective interest rate method and presented on the line item "Customer deposits and loans received", accrued interest is included in corresponding liabilities line items. Interest expense is recorded in the statement of profit or loss on the line "Interest and similar expense".

Loans received

Loans received are recognised initially at fair value net of transaction costs (the proceeds received, net of transaction costs incurred). Borrowings are subsequently stated at amortised cost using the effective interest rate method; any difference between proceeds (net of transaction costs) and the redemption value is recognised in the statement of profit or loss over the period of the instrument using the effective interest rate. The effective interest rate is the rate that exactly discounts the expected stream of future cash payments through maturity. The amortisation of the transaction costs is presented in the statement of profit or loss together with the interest expense. The respective interest expense is recorded in the statement of profit or loss on the line "Interest and similar expense".

Loan commitments

The Group issues commitments to provide loans. These commitments are irrevocable or revocable only in response to a material adverse change. Such commitments are initially recognised at their fair value, which is normally evidenced by the amount of fees received. This amount is amortised on a straight line basis over the life of the commitment, except for commitments to originate loans if it is probable that the Group will enter into a specific lending arrangement and does not expect to sell the resulting loan shortly after origination; such loan commitment fees are deferred and included in the carrying value of the loan on initial recognition. At the end of each reporting period, the commitments are measured at the higher of (i) the remaining unamortised balance of the amount at initial recognition, or (ii) the amount of the loss allowance determined based on the expected credit loss model.

1.11 Financial guarantee contracts

Financial guarantees are given to banks, financial institutions, companies and other bodies on behalf of customers to secure loans, other banking facilities and liabilities to other parties.

Financial guarantees are initially recognised in the financial statements at fair value (contract value) on the date the guarantee was given. In the statement of profit or loss the fee income earned on a guarantee is recognised on a straight-line basis over the life of the guarantee. In cases where the fees are charged periodically in respect of an outstanding guarantee, they are recognised as revenue on a time proportion basis over the respective guarantee period. At the end of each reporting period, the guarantees are measured at the higher of (i) the remaining unamortised balance of the amount at initial recognition, or (ii) the amount of the loss allowance determined based on the expected credit loss model. The amounts disbursed to settle the guarantee obligation are recognised in the consolidated statement of financial position on the date it is disbursed.

1.12 Payables to employees

Payables to employees include unpaid salary accruals, accruals for bonuses together with social security and unemployment insurance tax and a vacation pay accrual calculated in accordance with employment contracts and the laws of the Republic of Estonia in force as at the balance sheet date. The liability related to the payment of a vacation pay accrual together with social security and unemployment insurance premiums is included within current liabilities in the balance sheet and as payroll expenses in the consolidated statement of profit or loss. Social tax includes payments to the state pension fund.

The Group has no existing legal or constructive obligations to make pension payments or similar payments supplementary to social tax.

1.13 Share-based payments

The Group has established a share-based option programme, under which the Group issues options to employees to buy shares of Coop Pank AS in return for their services. The fair value of options issued is recognised as an expense over the term of the option programme as an increase in the Group's payroll expenses and an increase in equity (other reserves). The total cost is determined by the fair value of the options at the time they are issued. The fair value of the options is determined taking into account the market conditions affecting the option price, including the share price of Coop Pank AS. At the end of each reporting period, the Group estimates how many options are likely to become exercisable. Changes compared to initial estimates are recognised in the statement of profit or loss and with a correspondent adjustment to equity. When the options are exercised, Coop Pank AS issues new shares. According to the terms and conditions of the share options, there are no social tax expenses when exercising options after 3 years.

1.14 Revenue and expense recognition

Interest income and expense is recognised in the consolidated statement of profit or loss for all interest-earning financial assets and interest-bearing financial liabilities carried at amortised cost (AC) and debt financial assets at fair value through other comprehensive income (FVOCI) using the effective interest rate method.

When calculating the effective interest rate, the Group estimates cash flows considering all contractual terms of the financial instrument but does not consider future credit losses. The calculation includes all significant fees paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premiums or discounts.

Interest income is calculated by applying the effective interest rate to the gross carrying amount of financial assets, except for

- (i) financial assets that have become credit impaired (Stage 3), for which interest income is calculated by applying the effective interest rate to their amortised cost, net of the expected credit loss provision, and

- (ii) financial assets that are purchased or originated credit impaired, for which the original credit adjusted effective interest rate is applied to the amortised cost.

If the credit risk on the financial asset classified in Stage 3 subsequently improves so that the asset is no longer credit-impaired and the improvement can be related objectively to an event occurring after the asset had been determined as credit-impaired (i.e. the asset becomes cured), the asset is reclassified from stage 3 and the interest revenue is calculated by applying the effective interest rate to the gross carrying amount. The additional interest income, which was previously not recognised in profit and loss due to the asset being in stage 3 but is now expected to be received following the asset's curing, is recognised as a reversal of impairment.

Other similar income to interest income also includes income on interest bearing financial instruments classified at fair value through profit or loss.

Fee and commission income

The recognition of revenue from contracts with customers is reported as fee and commission income. This does not apply for revenue from leasing contracts or financial instruments and other contractual obligations within the scope of IFRS 9 Financial Instruments. Credit issuance fees for loans/leases are deferred and recognised as an adjustment to the effective interest rate on the credit.

Fee and commission income are recognised when incurred. Such income includes recurring fees for account servicing. Variable fees are recognised only to the extent that management determines that it is highly probable that a significant reversal will not occur.

Other fee and commission income is recognised at a point in time when the Group satisfies its performance obligation, usually upon execution of the underlying transaction. The amount of fee or commission received or receivable represents the transaction price for the services identified as distinct performance obligations. Such income includes fees for arranging a sale or purchase of foreign currencies on behalf of a customer, fees for processing payment transactions, fees for cash settlements, collection or cash disbursements,

Revenue from sale of assets

Revenue from sale of assets, except for tangible assets, is recognised at transaction price. Transaction price is the total consideration that the Group is entitled to receive for the transfer of promised goods or services to customer less amounts collected on behalf of third parties. The Group recognises revenue from sale of goods when the control over the goods or services is transferred to the customer.

Dividend income

Dividends are recognised in the statement of profit or loss when the entity's right to receive payment is established.

1.15 Statutory reserve capital

The Group forms the statutory reserve capital from annual net profit allocations to comply with the requirements of the Commercial Code. In each financial year the Group transfers at least one-twentieth of the net profit to the statutory reserve, until the reserve reaches one-tenth of share capital.